

NC.1 Owner-Builder Exemption Walkthrough

How North Carolina's owner-builder exemption actually works — the two statutes that create it, the affidavit you sign to claim it, and the conditions that take it away.

Before you use this document

This is a process reference, not legal advice. North Carolina permits are administered by 100 counties and dozens of municipalities, and local requirements vary. Confirm every item with the inspections department that will issue your permit before you rely on it. Statute text was read at ncleg.gov in August 2026; statutes change.

THE SHORT VERSION

North Carolina requires a licensed general contractor for construction work costing **\$40,000 or more**. The statute that creates that requirement also carves you out of it: if you own the land and the building is intended solely for occupancy by you and your family, you may act as your own general contractor at any project cost. You claim that carve-out by signing a verified affidavit when you pull the permit, and you keep it by actually living in the house.

N.C.G.S. § 87-1(a) and § 87-1(b)(2). The \$40,000 figure replaced \$30,000 effective October 1, 2023 (S.L. 2023-108, s. 2(a)) — older guides and older county handouts still print \$30,000.

The exemption at a glance

Question	North Carolina's answer
What is the \$40,000 threshold, then?	It is the point at which <i>contracting</i> requires a license. It governs the people you hire, not you.
Must you own the land, and live in it?	Both. Land owned by you, and the building solely occupied by you and your family after completion
For how long?	At least 12 months following completion, or the State presumes you never qualified
What do you sign, and who checks it?	A verified affidavit at permit application (§ 87-14(a)(1)); the inspector forwards it to the NC Licensing Board, which verifies your claim

THE EXEMPTION ITSELF — N.C.G.S. § 87-1(b)(2)

The licensing article does not apply to "*any person, firm, or corporation who constructs or alters a building on land owned by that person, firm, or corporation*" provided both of the following are true. Both. Failing either one puts you back under the license requirement.

The two conditions — both required

- (i) The building is intended **solely for occupancy by that person and his family** after completion.
- (ii) The person **complies with G.S. 87-14** — the affidavit, and proof of workers' compensation coverage as Chapter 97 requires it.

Read condition (i) closely. It says **solely for occupancy by you and your family** — not "primary residence," and it never mentions selling or renting. Those consequences arrive through the presumption below: a house you have sold or rented is no longer solely occupied by you.

The 12-month presumption — the sentence that ends most exemptions

"If the building is not occupied solely by the person and his family, firm, or corporation for at least 12 months following completion, it shall be presumed that the person, firm, or corporation did not intend the building solely for occupancy by that person and his family, firm, or corporation."

Two details people get wrong. First, the clock runs from **completion** — not from the certificate of occupancy, and the section does not define completion. Second, it is a **presumption**, not an automatic crime: it shifts the burden onto you to prove you did intend to live there. Neither point is a reason to cut it close. If you may need to sell or rent inside a year, get the Board's position in writing before you pull the permit.

N.C.G.S. § 87-1(b)(2), final sentence.

WHAT YOU SIGN — THE VERIFIED AFFIDAVIT, § 87-14(a)(1)

Before the permit issues, an applicant claiming the § 87-1(b)(2) exemption must "execute a verified affidavit" attesting to three things. Verified means sworn — you are signing under oath, and the statute at § 87-14(b) makes it a misdemeanor for the inspector to issue the permit without it.

- ☐ a. That you are the owner of the property on which the building is being constructed.
- ☐ b. That you will personally superintend and manage all aspects of the construction, and will not delegate that duty to any person not licensed as a general contractor.
- ☐ c. That you will be personally present for all inspections required by the North Carolina State Building Code — unless the plans were drawn and sealed by an architect licensed under Chapter 83A.

Item (b) is the one owner-builders misread. It does **not** stop you from hiring subcontractors — it stops you from handing the superintending role to an unlicensed person and calling yourself the builder on paper. You must actually run the job. Anyone you hire to run it for you at \$40,000 or more must hold a general contractor license.

The inspections department *"shall transmit a copy of the affidavit to the Board,"* which verifies you were entitled to the exemption. If the Board decides you were not, the permit is revoked under § 160D-1115. Contracting without a required license is a **Class 2 misdemeanor** under § 87-13.

N.C.G.S. § 87-14(a)(1)a-c; § 87-13; § 160D-1115.

Four positions the Licensing Board states plainly in its guidance for inspectors and permit clerks. **No power of attorney** — you cannot assign someone to act as owner-builder for you. **Only the person on the deed** may apply; if a husband or wife is listed individually, the other spouse cannot. **"Family" is narrow:** *"a spouse or other family member who lives in the same household,"* plus guests and social invitees where no consideration is received. And **land does not count toward the \$40,000** — project cost under § 87-10(a1) is *"the value of the project minus the cost of the land and ancillary improvements to the land."*

NC Licensing Board for General Contractors, FAQ for inspectors and permit clerks (nclbgc.org), read August 2026 — administrative positions rather than statutory text, but the Board verifies your affidavit, so these are what get applied to you. Check any contractor's licence at nclbgc.org/license-search/.

YOU MUST BE AT EVERY INSPECTION — § 160D-1113

This is not a courtesy expectation; it is a separate statutory command on the inspector: *"If a building permit has been obtained by an owner exempt from licensure under G.S. 87-1(b)(2), no inspection shall be conducted without the owner being present, unless the plans for the building were drawn and sealed by an architect licensed pursuant to Chapter 83A of the General Statutes."*

Architect — not engineer

Both § 87-14(a)(1)c and § 160D-1113 name an **architect** licensed under Chapter 83A. Neither says "or engineer." Plenty of guidance online — including guidance written for North Carolina — says "architect or engineer." The statutory text does not. If you are planning to skip inspections on the strength of an engineer's seal, confirm that with your inspections department in writing first.

Practical consequence: budget your own time for every inspection on the job, on the inspector's schedule, not yours. For a full house that is commonly a dozen or more separate visits across building, electrical, plumbing, and mechanical. See **NC.3** for the sequence.

WORKERS' COMPENSATION — § 87-14(a)(2)

The permit statute requires you to *"furnish proof that the applicant has in effect Workers' Compensation insurance as required by Chapter 97."* The operative words are **as required by Chapter 97**. Chapter 97 defines covered employment as private employment *"in which three or more employees are regularly employed"* (§ 97-2(1)).

So an owner-builder who hires licensed subcontractors and regularly employs nobody is generally not an employer Chapter 97 reaches. That is why NC jurisdictions hand you an affirmation form rather than demanding a policy. **The form and its wording are local.** Ask your inspections department which form they use and how they want the no-employee case

stated — and note that hiring even a couple of helpers directly can change the answer.

N.C.G.S. § 87-14(a)(2); § 97-2(1). Whether any given worker on your job counts as your employee is a fact question — if you are paying people directly, get advice before you sign.

DOING YOUR OWN ELECTRICAL, PLUMBING, AND MECHANICAL WORK

The general contractor exemption and the trade licensing exemptions are **different statutes with different tests**. Qualifying for one does not qualify you for the others. Here is what each one actually says.

Trade-by-trade — what the licensing statutes say

Trade	The statutory test	Authority
Electrical	The electrical licensing article does not apply to a person "installing, maintaining, altering or repairing electric work ... <i>upon that person's own property and for that person's own benefit when such property is not intended at the time for rent, lease, or sale.</i> "	§ 87-43.1(5a)
Plumbing & heating	Licensing attaches to those "engaged in the business." A person who installs on property " <i>intended for sale or to be used primarily for rental</i> " is deemed engaged in the business even without pay. Your own non-rental, non-resale home falls outside that.	§ 87-21(a)(5)
Mechanical / HVAC	Same plumbing-and-heating article governs the heating side. Handling refrigerant is a separate federal matter: EPA Section 608 technician certification is required to open a refrigerant circuit, and refrigerant may not be sold to uncertified persons.	§ 87-21; 40 C.F.R. Part 82, Subpart F

A permit is still required for every trade

Being exempt from a **license** is not being exempt from a **permit**. Section 160D-1110(a) requires permits for the building, for plumbing systems, for heating and cooling equipment, and for electrical wiring — separately. Doing your own work without pulling those permits is the single most expensive mistake in this kit, because the remedy is opening up finished work.

QUALIFICATION CHECKLIST — WORK THIS BEFORE YOU APPLY

Every line below is a condition the statutes impose or a fact the permit counter will ask you to prove. Work down it with a pen. If you cannot check a box, resolve it before you file — not after.

Step 1 — Ownership and intent

	Item	Date	Notes / evidence
☐	Land is owned in your name (or your firm's) as of the permit application date Deed book/page: _____ Parcel ID: _____		
☐	You intend the finished building solely for occupancy by you and your family — not as a rental, spec house, flip, or second home you will not occupy		
☐	You can hold it, occupied by your household, for at least 12 months following completion		
☐	No purchase, lease, or listing agreement for the property exists or is contemplated inside that window		
☐	If any of the above is uncertain, you have the Board's written position before applying Date requested: _____ Response: _____		

Step 2 — What you are swearing to

	Item	Date	Notes / evidence
☐	You will personally superintend and manage all aspects of construction, and are not handing that role to an unlicensed person acting as your de facto builder		
☐	Any contractor you hire whose own contract is \$40,000 or more holds a current NC general contractor license		
☐	License verified at the NC Licensing Board (nclbgc.org) for each such contractor Verified on: _____		
☐	You will be personally present at every required inspection		
☐	You understand the architect-sealed-plans exception is the only statutory way out of that		

Step 3 — the paperwork itself (owner exemption affidavit, workers' compensation form, lien agent designation, and everything your county adds on top) is worked in **NC.2 Permit Application Checklist**, and each document is described in **NC.5 Forms & Documents Index**.

WHAT TAKES THE EXEMPTION AWAY

- Selling, leasing, or renting the home — including short-term rental — so that it is not solely occupied by you and your family for 12 months following completion.
- Not owning the land the building sits on.
- Handing day-to-day superintendence to an unlicensed person while your name stays on the permit.
- Building something you never intended to live in — a spec house, a rental, an investment flip.
- Signing the affidavit and then not appearing at inspections, absent architect-sealed plans.

Consequences the statutes actually name: the Board reports the exemption invalid and the **permit is revoked** (§ 160D-1115); unlicensed contracting is a **Class 2 misdemeanor** (§ 87-13); and occupying a building before the certificate of compliance issues is a **Class 1 misdemeanor** (§ 160D-1116(c)).

Sources — every North Carolina claim in this document (verified August 2026)

What this document states	Authority
\$40,000 triggers the general contractor license requirement	G.S. 87-1(a)
Owner exemption: own the land, building solely for your family's occupancy	G.S. 87-1(b)(2)
12-month sole-occupancy presumption, running from completion	G.S. 87-1(b)(2)
Threshold rose from \$30,000 to \$40,000 on October 1, 2023	S.L. 2023-108, s. 2(a)
Verified affidavit, its three attestations, and Board review; permit revoked if the claim is invalid	G.S. 87-14(a)(1); 160D-1115
Workers' comp proof "as required by Chapter 97," which reaches employers of three or more	G.S. 87-14(a)(2); 97-2(1)
Project cost excludes the land; Board positions on the exemption	G.S. 87-10(a1); nclbgc.org FAQ
No inspection without the owner present; architect-sealed exception	G.S. 160D-1113
Own-property electrical work exception	G.S. 87-43.1(5a)
Plumbing/heating licensing turns on sale or rental intent	G.S. 87-21(a)(5)
Separate permits for building, plumbing, mechanical, electrical	G.S. 160D-1110(a)
Unlicensed contracting is a Class 2 misdemeanor	G.S. 87-13
Occupying before the certificate of compliance is a Class 1 misdemeanor	G.S. 160D-1116(c)

Read any General Statute cited above at [ncleg.gov](https://www.ncleg.gov) → Enacted Legislation → Statutes → by Section, or directly at [ncleg.gov/EnactedLegislation/Statutes/HTML/BySection/Chapter_87/GS_87-1.html](https://www.ncleg.gov/EnactedLegislation/Statutes/HTML/BySection/Chapter_87/GS_87-1.html) with the chapter and section swapped in. All statute text verified August 2026.